

Court No. - 21

Case :- WRIT - C No. - 9886 of 2012

Petitioner :- M/S Merino Industries Ltd.

Respondent :- Pashchimanchal Vidyut Vitran Nigam Ltd. And Others

Petitioner Counsel :- Mayank Agrawal

Respondent Counsel :- Pankaj Kumar Shukla,A.N. Singh

Hon'ble Ashok Bhushan,J.

Hon'ble Mrs. Sunita Agarwal,J.

Shri Pankaj Kumar Shukla, learned counsel appearing for respondents no. 1 and 2 prays for and is granted three days' time to obtain instructions.

Put up on 2nd March, 2012 as fresh.

Order Date :- 23.2.2012

Atul kr. sri.

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Heard Shri Mayank Agrawal, learned counsel for the petitioner and Sri Pankaj Kumar Shukla appearing for respondents No.1 and 1.

By this writ petition, the petitioner has prayed for quashing the order on 8th February, 2012, copy of which has been filed as Annexure-7 to the writ petition, by which the petitioner's application for grant of electric connection has been refused on the ground that in the name of petitioner's firm a case is pending before the Divisional Commissioner regarding electricity dues and till the case is decided the electric connection cannot be given.

Learned Counsel for the petitioner, challenging the order impugned, has contended that merely on the ground of pendency of case before the Divisional Commissioner, electricity cannot be refused. Further relying on provisions of Sections 43 and 44 of Electricity Act, 2003 (hereinafter referred to as the Act) it has been contended that the respondents cannot refuse electricity connection and only exception is Section 44 of the Act.

It is further submitted that at best the respondents could have permitted the connection by taking security of the amount which is

involved in the case before the commissioner.

Shri Pankaj Kumar Shukla, learned Counsel for the respondents refuting the submissions of the petitioner, has contended that according to Para 4.3 of U.P. Electricity Supply Code, 2005 (hereinafter referred to as the Code), electricity connection cannot be given unless the dues are cleared. He has further submitted that before the Commissioner there were dues of about 17 lacs and odd against the petitioner's company with regard to which appeal of the petitioner is pending before the Divisional Commissioner and till the dues are cleared electricity connection cannot be granted. He further submits that the provisions of Paragraph 4.3 of the Code is not under challenge in the writ petition and the refusal is in accordance with the paragraph 4.3 of the Code.

Shri Mayank Agarwal, learned counsel for the petitioner replying the submissions of respondents, has contended that Paragraph 4.3 sub-clause (f) (viii) is not applicable, since the said provisions is with regard to an event when there is sale of the premises. He has further submitted in the present case dues are not crystallized .

We have heard the learned counsel for the parties and perused the record.

Sections 43 and 44 of The Electricity Act, 2003 on which reliance has been placed by counsel for the petitioner are quoted below:

"43. Duty to supply on request.- (1) Every distribution licensee, shall, on an application by the owner or occupier of any premises, give supply of

electricity to such premises, within one month after receipt of the application requiring such supply :

Provided that where such supply requires extension of distribution mains, or commissioning of new sub-stations, the distribution licensee shall supply the electricity to such premises immediately after such extension or commissioning or within such period as may be specified by the Appropriate Commission.

Provided further that in case of a village or hamlet or area wherein no provision for supply of electricity exists, the Appropriate Commission may extend the said period as it may consider necessary for electrification of such village or hamlet or area.

(2) It shall be the duty of every distribution licensee to provide, if required, electric plant or electric line for giving electric supply to the premises specified in sub-section (1) :

Provided that no person shall be entitled to demand, or to continue to receive, from a licensee a supply of electricity for any premises having a separate supply unless he has agreed with the licensee to pay to him such price as determined by the Appropriate Commission .

(3) If a distribution licensee fails to supply the electricity within the period specified in sub-section (1), he shall be liable to a penalty which may extend to one thousand rupees for each day of default.

44.Exceptions from duty to supply electricity.-
Nothing contained in section 43 shall be taken as requiring a distribution licensee to give supply of electricity to any premises if he is prevented from doing so by cyclone, floods, storms or other occurrences beyond his control.”

The U.P. Electricity Code, 2005 has been framed in exercise of

powers under Section 50 of the Act which provides for following:

"50. The Electricity Supply Code.- The State Commission shall specify an Electricity Supply Code to provide for recovery of electricity charges, intervals for billing of electricity charges disconnection of supply of electricity for non-payment thereof; restoration of supply of electricity; tampering, distress or damage to electrical plant, electric lines or meter; entry of distribution licensee or any person acting on his behalf for disconnecting supply and removing the meter; entry for replacing, altering or maintaining electric lines or electrical plant or meter."

Paragraph 4.3 of the Code which deals with the new connection, is to the following effect:

"4.3. New Connections-(General):

(a) The system of supply and voltage shall depend on the category of the consumer and the load as per details given in Chapter 3.

(b) Application form for obtaining new connection and for enhancement/ reduction of load shall be made available to the applicant free of charge at all offices of the Licensee. The Licensee shall also put them on its website for downloading. Photocopies of a blank form may be made by the applicant and shall be accepted by the Licensee. The Licensee shall endeavour to introduce systems facilitating electronic filing of the applications for release of connections through meters (all categories), or filing / processing for connections through prepaid meters provided commercially viable and sustainable technology is available.

(c) The licensee / local authority shall designate Officers / authority for accepting applications in respect of sanction of load (for different categories of load) for new connection and releasing load by way of giving new connection. However the local authority for a rural

area may frame its own procedure for release of connection from time to time which shall as far as possible be in conformity to approved guidelines / specifications / costs specified by Commission.

(d) All informations relating to procedure, fees, designated officers for releasing new connection may be displayed on the notice boards of Sub-division office, Divisional offices and offices of DGM's / GM's / office of licensee. Public information counters for new forms, filing, and disseminating information status in the above offices, with computerized facilities in all towns with a population greater than 10 lakhs may be made operational within a time frame of one year.

(e) The electronic filing of a new application, status of connection pending to be released, and tracking of status of a connection through IVRS facility may also be made possible in a phased manner in all cities, through use of information technology, on the internet website, centralized call centres, and proper linking with the sub-division/ Division / DGM/GM offices.

(f) (i) It will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to pay the outstanding electricity dues/obtain No-dues certificate.

(ii) Before sale of a premise is made, the outstanding dues will be cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment. "Outstanding dues" means all dues pending on a premises including late payment surcharge.

(iii) In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate, by giving the reference of the connection in said premises. The licensee shall either intimate the pending dues, if any, on the premises or issue no dues certificate within

30 working days from the date of application.

(iv) The outstanding dues will be first charge on the assets of the company, and the licensee shall ensure that this is entered in an agreement with new applicant.

(v) The recovery proceedings against the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without consideration to licensees charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.

(vi) In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premise.

(vii) However the above conditions shall not apply if inconsistent with the provision of any higher court order or an order as a consequence to it.

(viii) The application shall be processed by licensee on clearing of dues.

(g) Where the property has been legally sub-divided, the outstanding dues for the consumption of energy on such premises, if any, shall be divided on pro-rate basis.

(h) A new Connection to such sub-divided premises shall be given only after the share of outstanding dues attributed to such sub-divided premises, is duly paid by the applicant. Licensee shall not refuse connection to an applicant only on the ground that, dues on the other portion(s) of such premises have not been paid, nor shall the licensee demand record of last paid bills of other portion(s) from such applicants."

The submission of the petitioner that under Section 43 of the Act

it is duty and obligation of the respondents to supply electricity connection within one month after receipt of the application has to be construed and given effect to in accordance with the other provisions of the Act and the Code. In a case where supply of electricity is prohibited or not permitted by any other provisions of the Act or Code, Section 43 cannot come in the aid of person praying for release of electricity. The scheme of the Code as delineated from Paragraph 4.3 of the Code, clearly indicates that if there are dues on a premises, which has been sold, no electricity supply can be given. The object and purpose is not far to see. For an electric connection in a premises if there are dues, fresh connection is not permitted unless the dues are cleared with the object to realize the dues and not to make it permissible for the owner to obtain new connection by not paying arrears of earlier connection. Paragraph 4.9 of the Code is with regard to a circumstance when the dues have been stayed by any court of law, in that event a bank guarantee is contemplated for release of the connection. Present is a case where the dues are outstanding against the petitioner, which are sub-judice before appellate authority. The refusal of granting new connection cannot be said to be contrary to the provisions of the Act and Code in facts of the present case. The respondents themselves have observed in the letter that application cannot be allowed till the case before the appellate authority continues to be pending. It is always open for the petitioner to seek appropriate directions in the pending appeal or get the appeal decided at an early date.

In view of the aforesaid, we do not find any error in the impugned order, which may warrant any interference by this Court.

The writ petition is dismissed.

Order dated:02.03.2012

Sumaira